Nigeria



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Corporate - Significant developments

Nigeria's 2026 budget and fiscal strategy insights

Nigeria's 2026 federal budget reflects a clear shift from spending-led stimulus to reform-driven growth. Set at 58.18 trillion Nigerian naira (NGN), the budget is framed against lessons from 2025, where non-oil revenues outperformed expectations but capital expenditure was consistently under-implemented and debt servicing absorbed a large share of government revenue. These pressures have reinforced the need for tighter fiscal discipline and more effective capital deployment.

The 2026 budget is built on conservative oil-price assumptions, moderate production targets, and an ambitious growth outlook. While these assumptions carry execution risks, they are supported by an explicit focus on macroeconomic stability and coordination between fiscal and monetary policy. The Medium-Term Expenditure Framework prioritises revenue mobilisation, expenditure efficiency, and debt sustainability, while creating room for private capital to play a larger role in infrastructure delivery.

Sectorally, the budget signals opportunities aligned with policy reform rather than public spending alone. Infrastructure, power, defence, agriculture, digital economy, health, education, solid minerals, and creative industries are positioned for increased private-sector participation through public-private partnerships (PPPs), concessions, and blended finance models.

Complementing the fiscal strategy are wide-ranging tax reforms aimed at simplifying administration, reducing distortions, and improving compliance. Expanded input value-added tax (VAT) claims, consolidated levies, and revised income and capital gains tax thresholds are expected to lower the cost of doing business while reshaping government revenue dynamics.

The 2026 budget and tax reforms point to an economy where execution, reform credibility, and private investment will define growth outcomes.

Federal High Court (FHC) upholds Tax Appeal Tribunal (TAT) decision on validity of the Country-by-Country Reporting (CbCR) Regulations - Check Point v the Federal Inland Revenue Service (FIRS)

The FHC has held that the Income Tax (Country-by-Country Reporting) Regulations 2018 (CbCR Regulations) were not validly issued and are therefore null and void. This was in light of the appeal

made by the FIRS on the initial ruling issued by the TAT on 17 August 2023. The TAT had ruled that the CbCR Regulations were unconstitutional and void in a case between Check Point Software Technologies B.V. Nigeria Limited (Check Point) and the FIRS.

The FHC confirmed that the CbCR Regulations could not have been validly made as the FIRS did not have a Board in place at the time the CbCR Regulations were issued. The FHC also confirmed that the CbC Multilateral Competent Authority Agreement (MCAA) is a treaty based on the definition in Section 12 of the Constitution and must be enacted into law by the National Assembly before it can have force in Nigeria. Therefore, by virtue of section 3(1)(c) and 3(2) of the Treaties (Making Procedure) Act, there was no need to domesticate the CbC MCAA. Also, the FHC held that Section 12 of the Constitution applies to all treaties, regardless of intent or purpose, and the Treaties (Making Procedure) Act cannot override the Constitution. On this basis, the CbC MCAA must be enacted into law in Nigeria before it can take effect.

Additionally, the FHC held that the penalties in the CbCR Regulations were in excess of the powers of the FIRS as prescribed in the Federal Inland Revenue Service (Establishment) Act (FIRSEA). While the range of penalties for failure to file returns under the FIRSEA is between NGN 10,000 and NGN 25,000, the CbCR Regulations significantly expanded this to NGN 10 million.

FIRS issues Circular to guide implementation of the Withholding Tax (WHT) Regulations 2024

On 24 February 2025, the FIRS issued a Circular detailing some guidelines for the implementation of the WHT Regulations, 2024, which became effective on transactions from 1 January 2025, as follows:

- Scope and applicability: It applies to a wide range of entities, including companies, partnerships, statutory and non-statutory bodies, unincorporated persons, and non-resident persons involved in transactions requiring tax deduction at source.
- Exemptions for small companies: Small companies are exempt from deducting tax at source if the transaction value is NGN 2 million or less and the supplier has a valid tax identification number (TIN). The Circular provides illustrations to guide small companies on when to deduct tax.
- Fake receipts: The Circular reiterates the penalties for failure to deduct or remit WHT, including sanctions under the law for the submission of fake or counterfeit receipts.
- Exemptions: The FIRS clarifies its position on the exemptions of interest or fees paid to a bank by direct debit and commission withheld by brokers in accordance with industry norms.

Windfall tax on Nigerian banks

The Nigerian government is proposing a 70% tax (‘windfall tax‘) on realised profits made by Nigerian banks from exchange transactions in the 2023 - 2025 financial years (FYs). This proposal has sparked some debate considering the many practical concerns that it raises. One of such issues is that it retrospectively applies the tax on profits from FY 2023, which the banks already filed and paid by June 2024.

FHC nullifies the requirement to pay security deposits before appeal at the TAT and the courts

The FHC of Nigeria recently struck down provisions that required taxpayers to pay security deposits before filing appeals at the TAT and the courts. These provisions, found in various rules and Practice Directions, were deemed to infringe upon taxpayers' constitutional right to fair hearing and were consequently declared null and void.

The FHC's decision highlighted the importance of the right to appeal as a constitutional right and criticised the deposit requirements for imposing an undue burden on taxpayers. The offending provisions were struck down, allowing taxpayers to file appeals without payment of any deposit.

While the ruling is lauded for upholding taxpayers' rights, questions remain regarding the interpretation of relevant laws and the standardisation of deposit requirements that still exist in the FIRS Establishment Act. The constitutionality of rules of court and practice directions also remains contentious, indicating potential further legal challenges.

Overall, the ruling provides clarity on taxpayers' rights in Nigeria's tax dispute resolution process and underscores the need for transparent and fair procedures in tax administration.

The FIRS postpones commencement of the automated collection of VAT on imported goods purchased through digital platforms

The FIRS has postponed its intended commencement of the automated collection of VAT on imported goods purchased through digital platforms.

The 2020 Finance Act amended the VAT Act to require non-residents that make taxable supplies of goods and services to Nigerian customers to register and account for VAT on supplies to Nigeria. Following this amendment, the FIRS issued Guidelines on Simplified Compliance Regime for VAT for Non-Resident Suppliers on 11 October 2021, with an effective date of 1 January 2022 with respect to supply of services and intangibles and 1 January 2024 for goods.

The FIRS had initially planned to roll out the regime with respect to supply of goods by non-resident suppliers by 1 January 2024; however, the FIRS has decided to postpone it to afford more time to develop a seamless process and collaborate more effectively with key stakeholders (e.g. the Nigerian Customs Service [NCS]). Pending any next steps, the FIRS has stated that the existing guidelines for services and intangibles provided by non-resident suppliers continue to remain in effect.

Corporate - Taxes on corporate income

Resident companies are liable to corporate income tax (CIT) on their worldwide income while non-residents are subject to CIT on their Nigeria-source income.

The CIT rate is 30% for large companies (i.e. companies with gross turnover greater than NGN 100 million or fixed asset of more than NGN 250 million), assessed on a preceding year basis (i.e. tax is charged on profits for the accounting year ending in the year preceding assessment).

Investment income paid by a Nigerian resident to a non-resident is sourced in Nigeria and subject to WHT at source, which serves as the final tax.

In respect of business profits, a non-resident company (which is not tax resident in a treaty country) that has a taxable nexus in Nigeria is taxable on the profits attributable to that taxable presence. Non-resident digital companies (which are not tax resident in a treaty country) that have a significant economic presence (SEP) will be subject to income tax in Nigeria on profit attributable to the taxable presence in Nigeria.

A foreign entity involved in digital transactions will be deemed to have created an SEP in Nigeria and is therefore liable to tax if it:

i. derives income of NGN 25 million or equivalent in other currencies from Nigeria in a year

ii. uses a Nigerian domain name (.ng) or registers a website address in Nigeria, or

iii. has purposeful and sustained interactions with persons in Nigeria by customising its digital platform to target persons in Nigeria (e.g. by stating the prices of its products or services in naira).

For the purposes of (i) above, revenue derived from Nigeria includes that in respect of:

- Streaming or downloading of digital contents.
- Transmission of data collected about users in Nigeria.
- Provision of goods or services directly or through a digital platform.
- Intermediation services that link suppliers and customers in Nigeria.

Activities carried out by connected persons shall be aggregated to determine the NGN 25 million threshold (where applicable).

Any company covered under any multilateral agreement to which Nigeria is a party will be treated in accordance with those agreements from the effective date in Nigeria.

Small company rates

The CIT rate is 0% for companies with an annual gross turnover of NGN 100 million or less with total fixed assets not exceeding NGN 250 million.

Real Estate Investment Companies

Real Estate Investment Companies approved by the Securities Exchange Commission to operate as a real estate investment scheme in Nigeria will be exempt from income tax on rental income, and dividend income earned in a financial year will be exempt from income tax provided that at least 75%

of such income is distributed within 12 months. For the purposes of the Nigeria Tax Act, A Real Estate Investment Company is a company duly approved by the Securities and Exchange Commission.

Petroleum profit tax (PPT)

PPT is a tax on the income of companies engaged in upstream petroleum operations *in lieu* of CIT.

The PPT rates vary as follows:

- 50% for petroleum operations under production sharing contracts (PSC) with the Nigerian National Petroleum Company Limited (NNPCL).
- 65.75% for non-PSC operations, including joint ventures (JVs), in the first five years during which the company has not fully amortised all pre-production capitalised expenditure.
- 85% for non-PSC operations after the first five years.
- 30% for upstream gas profits.

Following the enactment of the Petroleum Industry Act 2021, holders of a Petroleum Prospecting Licence and Petroleum Mining Lease will be subject to both CIT at 30% and Hydrocarbon Tax (HCT). This position is retained in the Nigeria Tax Act 2025.

HCT rates are as follows:

- 30% for converted/renewed onshore and shallow offshore Petroleum Mining Lease.
- 15% for onshore and shallow onshore Prospecting Petroleum Licence and Marginal Fields.
- Deep offshore may be subject to HCT based on the Nigeria Tax Act; however, the HCT rate is not clear.

This means that the highest headline tax rate for companies in the upstream oil and gas industry will be 60% under the provisions of the Petroleum Industry Act and the Nigeria Tax Act.

Current Oil Mining Licence and Oil Prospecting Licence holders will continue to be taxed in line with the Petroleum Profits Tax Act (PPTA) unless a conversion contract is executed in line with the provisions of the Petroleum Industry Act 2021.

Minimum effective tax rate (ETR)

The minimum ETR is set at 15% of net income (i.e. covered taxes as a percentage of net income) for Nigerian companies with turnover of NGN 50 billion and above or multinational companies with an aggregate group turnover of at least 750 million euros (EUR) or its equivalent in the financial year.

If in any year of assessment a company's ETR is less than 15%, the company is required to recompute and pay additional tax to bring its effective tax rate up to 15%.

Net income refers to the profit before tax as reported in the audited financial statement excluding franked investment income (dividend income that has suffered Nigerian WHT and unrealised exchange gains and losses).

Covered taxes include income tax paid or payable, PPT, HCT, development levy, and priority sector tax credit.

Top-up tax for foreign subsidiaries

The Nigerian parent company of a non-resident subsidiary is required to pay a 'top-up' tax where the ETR of the foreign subsidiary is below 15%.

For more detailed information and the most recent updates, please visit PwC's Pillar Two Country Tracker.

Undistributed profits deemed to be distributed

Undistributed profits in closely held Nigerian companies controlled by not more than five individuals may be deemed distributed and subject to WHT at the applicable WHT rate of 10%.

Alternative tax on distribution

There is a tax on distribution where a company pays a dividend in excess of its taxable profit. Certain profits should be deducted from the dividend that is compared to the taxable profit, including dividend income that has suffered WHT, profits exempt under the CIT, CGT, PPT, HCT, Industrial Development (Income Tax Relief) Act, and retained earnings that had suffered tax previously.

Alternative tax on deemed profit

For a non-resident with a permanent establishment (PE) or SEP in Nigeria, if attributable profits cannot be determined, profits are deemed to be the amount obtained by applying the non-resident's profit margin to its total Nigerian source income.

Where the attributed profits for a PE or SEP are lower than the profit-margin-based amount, profits will be increased to match the profit-margin-based amount. Regardless of the above, tax payable must be at least the WHT deducted at source, or where no withholding applies, 4% of total income generated from Nigeria.

Presumptive tax assessment

In any other case, where a person's income cannot be ascertained or records are inadequate, the person shall be assessed under a presumptive tax regime on terms prescribed by the Minister on the advice of the Joint Revenue Board.

Development Levy

A 4% Development Levy is applied to the assessable profits of all Nigerian companies subject to tax, except for small companies and non-resident companies. Assessable profits are defined as profit before tax, adjusted for tax items, before taking deduction for tax losses, capital allowances, and chargeable gain considerations. This single 4% levy replaces several previous corporate levies, including the Tertiary Education Tax (3%), the NITDA IT levy (1%), the NASENI levy (0.25%) for specific sectors, and the Police Trust Fund levy (0.005%), all previously based on profit before tax. The Development Levy does not apply to assessable profits calculated under HCT rules.

Local income taxes

CIT is payable only to the federal government. State governments collect income taxes of individuals and unincorporated entities, while local governments are only allowed to collect levies and rates but not income tax.

Corporate - Corporate residence

A company is considered a Nigerian company if:

- it is formed, registered, or incorporated under any law in Nigeria
- its central place of management or control is in Nigeria, or
- its effective place of management or control is in Nigeria.

The profits of a Nigerian company are deemed to accrue in Nigeria and chargeable to tax in Nigeria irrespective of where the profits arise and regardless of whether the profits have been brought into or received in Nigeria.

A company is non-resident where it does not meet any of the listed conditions for being a Nigerian company (i.e. it is not formed, registered, or incorporated in Nigeria and neither its central nor effective place of management or control is in Nigeria).

Under the Nigeria Tax Act, Nigeria can tax a non-resident company's profits through its taxable nexus (i.e. digital SEP or PE rules).

Once a non-resident has a PE in Nigeria, income connected with that Nigerian contract / business can be taxed in Nigeria even if key work is performed offshore through a split contract (e.g. engineering / procurement done outside Nigeria for a Nigerian project) commonly referred to as the anti-fragmentation rules.

Permanent establishment (PE)

The taxation of a non-resident person's profit is triggered where that person has a PE or an SEP in Nigeria to the extent that the profit is attributable to that PE or SEP.

A non-resident person is deemed to have a taxable presence in Nigeria where the person:

- Has a place in Nigeria through which its business is wholly or partly carried on or at its disposal for the purpose of its business.
- Operates a trade or business through a person in Nigeria authorised to conduct the trade or business on its behalf on behalf of some other persons controlled by it or that has a controlling interest in it.
- Maintains a stock of goods or merchandise in Nigeria from which deliveries are made by a person on its behalf.
- Solely, or together with any other person, executes a project in Nigeria involving activities such as surveys, designs, deliveries, building, construction, assembly or installation, commissioning or decommissioning, or any supervisory activity related to those activities, regardless of the split of contracts.
- Furnishes any service in Nigeria through employees, agents, subcontractors, or other persons engaged by it for such purpose.
- Supplies digital products to the Nigerian market.

Note: A non-resident entity (company or individual) is not considered to have a PE solely due to employing persons resident in Nigeria, provided those employees do not primarily perform their duties for customers within Nigeria.

Corporate - Other taxes

Value-added tax (VAT)

The standard VAT rate is 7.5% (increased from 5% on 1 February 2020).

Zero-rated items include goods and services purchased by diplomats, goods purchased for use in humanitarian donor-funded projects, basic food items (based on a specific list), medical products and services, pharmaceutical products, books and educational materials, and exported services. Exempt items include plants and machinery for use in export processing zones (EPZs) or free trade zones (FTZs).

MTN, Airtel, government agencies, banks, and oil and gas companies are required to deduct at source VAT charged by their suppliers and remit it to the tax authority. All other organisations, except small businesses, are required to collect VAT charged on their invoices from their customers for filing and payment to the tax authority.

There is a reverse-charge mechanism for services from which no tax invoice was received. VAT returns are filed on a cash basis.

Non-resident digital companies (as appointed by the tax authorities) rendering services to Nigerian customers are required to charge, collect, and remit VAT to the Nigeria Revenue Service (NRS) in the currency of transaction.

Input VAT claim

Expanded VAT rules allow the recovery of input VAT incurred on services and fixed assets tied to taxable supplies against output VAT.

Where input VAT is incurred in making both taxable and non-taxable supplies, only the proportion relating to the taxable supplies can be deducted.

Input VAT is claimable within five years after the end of the period in which the tax was incurred.

Input VAT on exported services

Exported services are classified as a zero-rated item, so companies can recover input VAT incurred to generate income on exported services.

Deductibility of expenses and capital allowance claim

Expenses are only deductible for income tax purposes, and capital allowance is only claimable on qualifying assets where VAT and import duty (where applicable) has been paid.

VAT refund

A taxable person shall be entitled to a refund of excess VAT not utilised as a credit upon request to the tax authority and provision of information or documents required by the tax authority.

Refund requests must be initiated within 12 months from transaction. Refund by the government must also be completed within 30 days, after which the amount can be offset against any other tax liability due to the Federal Government.

VAT fiscalisation and electronic invoicing

The New Tax Act empowers the NRS to deploy an Electronic Fiscal System (EFS) for recording / reporting taxable supplies.

Taxable persons must implement a fiscalisation system for VAT purposes and must render real-time or scheduled returns when technology is deployed by the NRS.

Customs duties

Customs duties in Nigeria are levied only on imports. Rates vary for different items, typically from 5% to 35%, and are assessed with reference to the prevailing Harmonised Commodity and Coding System (HS code).

Airlines registered in Nigeria and providing commercial air transport services are entitled to duty-free importation of their aircraft, engines, spare parts, and components, whether purchased or leased.

Excise duties

Excise duty is applicable on sugar-sweetened non-alcoholic beverages, beer and stout, wines, spirits, cigarettes, and homogenised tobacco manufactured in or imported into Nigeria.

Excise duties on tobacco and alcoholic and non-alcoholic beverages have been amended by the 2026 fiscal policy measures and tariff amendments effective 1 July 2026, which also introduced the green tax surcharge (excise duties) on motor vehicles. The new regime applies to tobacco and its products (such as cigarettes), alcoholic beverages (beers and stouts, spirits, and wines), non-alcoholic beverages, and motor vehicles as follows:

Tobacco

From 1 July 2026, in addition to the 30% *ad valorem* rate, a specific rate of NGN 6 will be paid on each cigarette stick (NGN 120 per pack of 20 sticks).

In 2027, the specific rate will increase to NGN 7 per stick (NGN 140 per pack of 20 sticks). In 2028, the specific rate will increase to NGN 8 per stick (NGN 160 per pack of 20 sticks).

In addition, other non-smoking tobaccos containing tobacco substitutes in any proportion will be charged at a specific rate of NGN 4,500 per kg / NGN 6,000 per litre from 1 July 2026.

Beer and stout

With respect to alcoholic beverages, no *ad valorem* rate is applicable.

From 1 July 2026, NGN 72 per litre is payable on beer and stout. In 2027 and 2028, NGN 76 per litre and NGN 80 per litre will be payable, respectively.

Wines

From 1 July 2026, the *ad valorem* rate increases to 25%, with a specific rate of NGN 70 per litre. The rates remain the same through 2027 and 2028.

Spirits

From 1 July 2026, the *ad valorem* rate increases to 30%, with a specific rate of NGN 75 per litre.

In 2027, the specific rate will increase to NGN 80 per litre. In 2028, the specific rate will increase to NGN 85 per litre.

Non-alcoholic, carbonated, and sweetened beverages

Excise duty applies to non-alcoholic, carbonated, and sweetened beverages (including fruit juices and energy drinks) at a specific rate of NGN 10 per litre.

Motor vehicles

From 1 July 2026, green tax surcharge will apply on vehicles with engine size from 2000 cc - 3999 cc (inclusive) at a specific rate of 2%. Vehicles with 4000 cc engine and above attract the surcharge at a

specific rate of 4%. Exemptions include vehicles below engine size below 2000 cc, mass transit buses, electric vehicles, locally manufactured vehicles, and specifically listed vehicle parts.

Fossil fuel surcharge

A 5% surcharge is imposed on chargeable fossil fuel products provided or produced in Nigeria.

The surcharge base is the retail price of the products, and it is collected at the time of supply, sale, or payment, whichever occurs first.

Exemptions include clean or renewable energy products, household kerosene, cooking gas, and compressed natural gas (CNG).

The effective date of commencement for the administration of the surcharge is to be indicated by the Minister of Finance (MoF) by an order issued in the official Gazette.

Property taxes

Property taxes in Nigeria are usually levied annually by the state government with varying rates depending on the state and the location of the property within the state. The two major property taxes are governor's consent fee and land registration fee.

Also, Right of Occupancy fee and tenement rates are chargeable by state and local government authorities.

Stamp duties

Stamp duty is payable on any agreement first executed in Nigeria or relating to any property situated in or to any matter or thing done in Nigeria. Instruments that are required to be stamped under the Nigeria Tax Act must be stamped within 30 days of execution. The party responsible for paying the duty is the transferee (in the transfer of real property), the beneficiary (of a service), or any other person taking security in a transaction for which the instrument was executed.

Stamp duty is chargeable either at fixed rates or *ad valorem* (i.e. in proportion to the value of the consideration), depending on the class of instrument. Stamp duty is imposed at the rate of 0.75% on the authorised share capital at incorporation of a company or on registration of new shares.

All deposit banks and financial institutions are required to charge stamp duties of NGN 50 on electronic receipts or transfers of NGN 10,000 upward. There are exemptions for money paid into one's own account or electronic transfers between accounts of the same owner within the same bank.

Capital gains tax (CGT)

Capital gains (now referred to as 'chargeable gains' under the Nigeria Tax Act) are now taxable as part of total profit of the company and are taxed at the applicable income tax rate of 30%. The rate

can be decreased to 25% via presidential order.

Payroll contribution

Under the Employee Compensation Act, all employers were required to contribute 1% of their payroll cost in the first two years of commencement of the Act (2010 to 2012). Subsequently, assessments were expected to be issued by the Nigeria Social Insurance Trust Fund, the body empowered to administer and implement the Act. In practice, a contribution of 1% of payroll continues to apply.

Pension contributions

Employers with at least 15 employees are required to participate in a contributory pension scheme for their employees. The minimum contribution is 18% of monthly emolument (with a minimum contribution of 10% by the employer and 8% by the employee). If the employer decides to bear all the contribution, the minimum contribution is 20% of monthly emolument. Mandatory and/or voluntary contributions by the employers are deductible for CIT purposes.

National Housing Fund (NHF) contributions

NHF contributions are applicable to Nigerian employees earning a minimum of NGN 30,000 *per annum*. The employer is required to deduct 2.5% of gross income from employees earning more than NGN 30,000 *per annum* and remit it to the Federal Mortgage Bank of Nigeria within one month of deduction. The levy is voluntary for employees in private employment.

Cabotage levy

The Coastal and Inland Shipping (Cabotage) Act restricts the use of foreign vessels in domestic coastal trade with the purpose of promoting indigenous tonnage, to establish a cabotage vessel financing fund, and for related matters. The levy is applied as a 2% surcharge of the contract sums earned by vessels engaged in coastal trade in Nigeria.

Levy on contracts awarded in the upstream oil and gas sector

The Nigerian Content Development Act was introduced to increase the level of Nigerian participation in the oil and gas industry. The Act imposes a levy of 1% on every contract awarded in the upstream oil and gas sector of the economy. Any violation of the Act is liable for a fine of 5% of the contract value and may result in outright cancellation of the contract.

Corporate - Branch income

Except in rare circumstances, it is illegal for a non-resident company to operate through a branch in Nigeria. The Nigeria-source income of a non-resident company is taxable (*see the Taxes on*

corporate income section for more information).

Corporate - Income determination

The following income is subject to CIT in Nigeria:

- Profits accruing in, derived from, brought into, or received in Nigeria in respect of any trade or business.
- Dividends (extended to include compensating payment arising from Regulated Securities Lending Transaction), interest (extended to include compensating payment arising from Regulated Securities Lending Transaction), royalties, discounts, charges, or annuities.
- Rent or any premium arising from the right granted to any person for the use or occupation of any property, where applicable.
- Any source of annual profits or gain not falling within the preceding categories.
- Fees, dues, and allowances (wherever paid) for services rendered.
- Any amount of profits or gains arising from the acquisition or disposal of short-term money instruments like treasury bills, treasury or savings certificates, debenture certificates, and treasury bonds.

Inventory valuation

The first in first out (FIFO) valuation method is commonly used. Average and standard cost methods are also allowed, but last in first out (LIFO) is not permitted. Other than the accounting requirement in the local generally accepted accounting principles (GAAP), there are no special statutory provisions for inventory valuation.

Capital gains

Chargeable gains are now subject to tax at the prevailing CIT rate, currently at 30%. Income tax now applies to indirect transfers of Nigerian shares through offshore holding companies, while for direct share disposals, the exemption threshold has been raised to NGN 150 million for disposal proceeds, and NGN 10 million for attributable chargeable gain, in any consecutive 12-month period. *See 'Capital gains tax (CGT)' in the Other taxes section for more information.*

Dividend income

Dividends received by a Nigerian resident company from another Nigerian resident company are taxable at source via WHT and are exempt from further taxation. In contrast, dividends received from non-resident companies are generally taxable unless they are repatriated into Nigeria through government-approved channels.

Dividends received from small manufacturing companies are exempt from income tax for the first five years of operation. The threshold for qualifying as a small company has been increased to NGN 100 million in turnover or NGN 250 million in fixed assets.

Additionally, dividends from investments in wholly export-oriented businesses are exempt from tax. Dividends paid to Unit Trusts and Real Estate Investment Companies are also exempt from WHT.

Stock dividends

Stock dividends (bonus shares) are not subject to WHT and are not included in the taxable income of the recipient company.

Interest income

Interest received by a Nigerian company is subject to CIT at the applicable rate, with 10% withheld at source as a credit against the final tax liability.

Interest earned on State or Federal Government bonds is exempt from tax.

Interest payable to non-resident investors is subject to a final WHT of 10%. However, recipients who reside in countries with double taxation treaties (DTTs) with Nigeria may benefit from a reduced withholding rate of 7.5% if explicitly provided for in the treaty.

Royalty income

Royalties received by a Nigerian company are liable to tax at the relevant CIT rate. WHT at 10% is available as an offset against the final CIT liability.

Royalties received by a Nigerian company from non-resident payers are taxable except if repatriated into Nigeria through government-approved channels.

Non-resident companies who receive Nigerian royalties are subject only to WHT at 10%, which is reduced to 7.5% if a treaty is in place with Nigeria (and where it is stated expressly in the DTT).

Other significant items

Exempt income

The following entities' income or profit is exempt for CIT purposes:

- Statutory or registered friendly societies.
- Co-operative societies registered under any ecclesiastical or charitable establishments of a public character.
- Profits of a company established within an EPZ or FTZ are conditionally exempt. Full exemption applies only if ≥75% of output is exported; proportionate tax applies if more than 25% is sold locally; full tax applies from 2028 for any sales to customs territory.

- Profit of a registered trade union.
- Profits of a small company (threshold of NGN 100 million turnover and NGN 250 million fixed assets) are taxed at 0%.

Taxation of waived or refunded liabilities

Where a deduction was previously allowed for a liability or expense and liability is later waived, released, or refunded (in whole or in part), the amount waived or refunded becomes income on the day of the waiver, release, or refund and will be subjected to income tax.

If the waived liability or expense was capital in nature, it will constitute a chargeable gain.

Foreign income

A Nigerian resident company is taxable on its worldwide income. On the other hand, a non-resident company is subject to tax only on income derived from Nigeria.

The worldwide income of Nigerian companies is now taxable whether or not repatriated. Controlled foreign company (CFC) rules have been introduced (i.e. undistributed profits of foreign subsidiaries controlled by Nigerian companies may be deemed distributed and taxed in Nigeria). The modalities for the deemed distribution are yet to be released by the tax authorities.

Dividends, interest, rents, and royalties earned abroad and brought into Nigeria through government-approved channels are exempt from Nigerian tax; otherwise, the income is taxable at the CIT rate.

A top-up tax has been introduced, such that where a non-resident subsidiary of a Nigerian company, or a member of a multinational group of a Nigerian company [with aggregate group turnover of at least EUR 750 million or its equivalent], has an effective tax rate below 15%, the Nigerian parent company is required to pay an additional tax to bring the subsidiary's effective tax rate up to 15%. The modalities for the computation and administration of the top-up tax are yet to be released by the tax authorities.

Corporate - Deductions

Expenses are deductible for CIT purposes if they are wholly and exclusively incurred for business or trade.

Any expense in respect of which VAT is due but was not charged or, in the case of imported items, any expense for which the applicable import duty or levy was not paid is not deductible for income tax purposes.

Depreciation

Capital allowances are calculated on a straight-line basis. Companies can claim the full annual allowance provided the asset is used for generating taxable income. Annual allowances apply across asset classes, as initial allowances are no longer applicable.

The following are the annual allowance rates on fixed assets (qualifying expenditures):

Class	Qualifying expenditure	Rate (%)
1	Building expenditure	10
1	Agricultural expenditure	10
1	Mast expenditure	10
1	Intangible assets expenditure	10
1	Heavy transportation expenditure	10
2	Plant expenditure	20
2	Agricultural equipment expenditure	20
2	Furniture and fittings expenditure	20
2	Mining expenditure	20
2	Other equipment expenditure	20
3	Motor vehicle expenditure	25
3	Software expenditure	25
3	Other capital expenditure	25

Note the following:

- Initial allowance has been eliminated. Capital allowances are now computed on a straight-line basis over the useful life of the asset.
- Assets cannot be fully written off in the books until disposal. Instead of a nominal NGN 10, companies must retain 1% of the asset's cost in the books until disposal, which shall not increase or reduce the amount of capital allowance claimable.
- When assets are sold, the proceeds over the tax written-down value are taxed at 30% for companies that are not small.
- Capital expenditure incurred on the development or acquisition of software or other electronic applications are now qualifying expenditures eligible for capital allowance claim. Previously, the

applicable capital allowance rate was not specified in the law. In practice, the capital allowance rate for plant expenditure was usually adopted. The New Tax Act has now provided the capital allowance rate at 25%.

- The law restricts the claim of capital allowances to the portion of qualifying assets used for generating taxable income. Capital allowance on assets that are partially used for generating taxable income will be prorated except where the proportion of non-taxable income is less than 10% of the company's total income.
- Capital allowances related to priority activities under an economic development incentive can only be deducted from the assessable profits generated by the priority business, not from the company's other trading income.
- An asset is only eligible for the claim of capital allowance where any VAT due on the asset has been charged or, in the case of an imported item, where the applicable import duties have been duly paid.

Transitional rules for capital allowances

- For assets on which capital allowances were granted prior to the commencement of the Act, the remaining basis periods shall be determined by deducting the number of years already claimed from the total allowable period prescribed under the New Tax Act.
- In instances where the capital allowances granted before the commencement equal or exceed the allowable period under the New Tax Act, a singular residual allowance shall be granted, contingent upon the retention of 1% of the qualifying expenditure in the accounting records solely for statistical purposes, until such time as the asset is disposed.
- Where capital allowances on assets were fully claimed under the previous Nigeria Tax Act, no additional allowance shall be granted under the new regime with respect to amounts retained in accordance with the repealed provisions.

Goodwill

There is no tax deduction for goodwill.

Commencement expenses

Commencement expenses are now expressly deductible. Any expenditure incurred within six years prior to the commencement of business that would have been deductible if incurred after commencement shall be deemed incurred on the first day of business.

Interest expense

Interest on money borrowed and employed in producing taxable income is a deductible expense.

There is currently no thin capitalisation regulation in Nigeria, but general anti-avoidance rules are usually applied to limit deductible interest on related-party loans.

The Act provides a limitation of 30% of earnings before interest, taxes, depreciation, and amortisation (EBITDA) on interest expense on connected party debt (which includes local and foreign debt guaranteed either implicitly or explicitly). Excess interest can be carried forward for up to five years.

Bad debt

Bad debt incurred in the course of trade is deductible. However, bad debts arising from transactions with related parties are specifically excluded from deductible expenses.

Charitable contributions

Donations to funds, bodies, or institutions in Nigeria are deductible in line with statutory provisions. Under the Nigeria Tax Act 2025, deductible donations now include those of a capital nature. However, the total allowable deduction against profits is capped at 10% of profit before tax.

Research and development (R&D)

Companies can deduct amounts incurred on R&D when computing taxable profits.

The deduction is now capped at 5% of the company's turnover for the year. Additionally, if the R&D outcome is later sold or transferred for commercial use, the proceeds are taxed as chargeable gains.

Fines and penalties

Any punitive payments for default or violation of law are expressly not deductible for CIT purposes.

Taxes

Any tax on income or profit is not deductible except where such tax was paid on profit earned outside Nigeria. In this case, if the source country has no DTT with Nigeria, the foreign tax paid is allowed as a deduction for CIT purposes. State and local taxes (business rates) and levies may be deducted from taxable income. Taxes borne on behalf of another person are not tax deductible.

Other significant items

Other deductible expenses include the following:

- Sum payable by way of interest on capital borrowed and used to generate taxable profits.
- Rent for the period.

- Expenses incurred in respect of salary and wages.
- Expenses incurred for repair of assets.
- Liability incurred for purpose of trade.

Net operating losses

Losses can be carried forward indefinitely. Losses made from one line of business cannot be relieved against another line of business.

Payments to foreign affiliates

Payments considered to be artificial are not deductible for CIT purposes. Royalties, management fees, and technical fees required between connected parties are to conform with the Transfer Pricing Regulation.

Corporate - Group taxation

There are currently no provisions for group taxation, group relief, or group filing of tax returns in Nigeria. Each legal entity within a group is treated as distinct and separate for CIT purposes.

Transfer pricing

A company involved in arrangements with a related party must ensure that the terms and conditions are carried out at arm's length.

The Transfer Pricing Regulations are applied in a manner consistent with the arm's-length principle in Article 9 of the United Nations (UN) and Organisation for Economic Co-operation and Development (OECD) Model Tax Conventions on Income and Capital and the OECD Transfer Pricing Guidelines for Multi-national Enterprises and Tax Administrations. However, where there are inconsistencies between the model conventions and the local legislation, the provisions of the relevant local tax laws shall prevail.

The rules cover all transactions between 'connected taxable persons', which is broadly defined to include individuals, PEs created by head offices, subsidiaries, associates, partnerships, joint ventures, and trusts to the extent that they participate directly or indirectly in the management, control, or capital of another, or both of which have common control, management, or shareholders. Specifically, the rules apply to sale and purchase of goods; lease or sale of tangible assets; licensing, transfer, or use of intangible assets; provision of services; lending or borrowing of money; manufacturing arrangements; and any transaction that may affect profit and loss or any other incidental matter.

The rules are applicable to both domestic and cross-border related-party transactions.

The relevant tax authority may make necessary adjustments if it determines that an arrangement with a related party is not at arm's length, in line with the Transfer Pricing Regulations.

Where the NTA believes a disposition or transaction that reduces or may reduce the tax liability is artificial or fictitious, it may disregard the transaction or direct adjustments to counter the tax reductions.

Thin capitalisation

Nigeria does not have thin capitalisation rules; however, interest deductibility rules on foreign connected parties' loans were introduced based on the Finance Act 2019. The Nigeria Tax Act, with effect from 1 January 2026, further expands the scope of interest deductibility rules to include local connected parties. This restricts interest deductibility to 30% of EBITDA. Excess interest can be carried forward for up to five years. The rules cover connected party debt, including third-party debt guaranteed implicitly or explicitly by a connected person.

Controlled foreign companies (CFCs)

CFC rules grant the Nigerian tax authority the power to deem a portion of the undistributed profits of the foreign subsidiary of a Nigerian parent company as distributed (i.e. dividend) and assess the Nigerian company to income tax at a maximum rate of 34%.

Corporate - Tax credits and incentives

Nigeria has various tax incentives intended to encourage investment in key sectors of the economy, as follows.

Tax holidays

The Nigeria Tax Act expanded the scope of income and capital gains tax exemptions. It introduced the Economic Development Tax Incentive (EDTI), which replaces the Pioneer Status Incentive (PSI). These incentives are intended to encourage investment in key sectors of the economy.

Income, profit, or gain from the following are not subject to income tax or tax on chargeable gains:

- Statutory or registered friendly societies, co-operative societies, trade unions, and entities engaged in educational, religious, or charitable activities of a public character, provided such income is not from trade or business.
- Federal, State, or Local Governments, their MDAs, and public institutions (except income from trade or business).
- Government purchasing authorities established by law.

- Dividends from authorised collective investment schemes.
- Dividends or rental income received by real estate investment companies that distribute at least 75% within 12 months.
- Compensating payments in regulated securities lending transactions.
- Consular fees and certain diplomatic income.
- Pension funds, retirement benefits, gratuities, and related exemptions under the Pension Reform Act.
- Disability pensions, death gratuities, and redundancy payments.
- Gains from disposal of assets by angel investors, venture capitalists, etc., held for at least 24 months.
- Income from Federal or State bonds.
- Emoluments of military personnel in combat zones.
- Agricultural business income for the first five years.
- Dividends from wholly export-oriented businesses.
- Profits from sporting activities.
- Foreign-sourced dividend, interest, rent, or royalty brought in through approved channels.
- Employment income at or below the national minimum wage.
- Wages and salaries of military officers.
- Gains on disposal of pension fund assets or decorations awarded for valour.

Additional deductions:

- 50% of costs incurred in years 2023 to 2025 for wage awards, salary increases, transport subsidies for low-income workers (less than NGN 100,000/month), and salaries of new employees (subject to some conditions).

The Economic Development Tax Incentive (EDTI)

The EDTI was introduced to replace the PSI. Below is a summary of what EDTI entails:

Parameters	
Legal basis	Nigeria Tax Act 2025
Administering authority	Nigerian Investment Promotion Commission (NIPC).

Nature of incentive	Companies investing in priority sectors with underdeveloped scale but high development prospects are eligible for an income tax credit for five years and for an additional period of up to five years, provided that all profits earned during the initial five-year period are reinvested into the business.
Eligible sectors	Priority sectors identified by NIPC/National Economic Council for economic development in accordance with the 10th Schedule of the Nigeria Tax Act. These priority sectors include: business process outsourcing, agriculture, solid minerals, infrastructure, production of machines used in production of packaging materials, fibre, and textile industry.
Application requirement	Submit application to NIPC. Evidence of ability to commit minimum capital required in the priority sector. Application accompanied by non-refundable fee of 0.1% of qualifying capital expenditure (QCE) (maximum of NGN 5 million).
Conditions to enjoy incentive	Investment must be in designated priority sector. Must meet the minimum capital outlay. Application and supporting documents must be approved by NIPC. Relief tied strictly to amount of QCE incurred.
Duration	Relief applies during the period in which the qualifying expenditure is incurred and certified.
Benefit to company	By offering tax incentives over the first five years, this measure lowers the ETR on the early stage and promotes targeted investment in the priority sectors.
Other compliance obligations	Payment of application fee. Submission of audited accounts. Subject to NIPC monitoring to ensure investment commitments are fulfilled.

Export incentives

Export processing zones (EPZs) and free trade zones (FTZs) are locations within Nigeria designated by the government as free areas where export trade activities can be carried on free of tax and foreign exchange restrictions.

Profits of companies whose supplies are exclusively inputs to the manufacture of products for export are exempt from tax. Such companies are expected to obtain a certificate of purchase of the input from the exporter in order to claim tax exemption.

Export Expansion Grant (EEG) Scheme

The EEG Scheme grants the Export Credit Certificate (ECC) as an incentive that can be used to settle all federal government taxes, such as VAT, WHT, CIT, etc. It can also be used to purchase government bonds and repay government credit facilities and debts due to the Assets Management Company of Nigeria (AMCON).

To encourage export of value added and processed/manufactured products, exporters are divided into four categories with maximum applicable EEG rates as indicated below:

- Fully manufactured products: 15%.

- Semi-manufactured products: 10%.
- Processed/intermediate products: 7.5%.
- Merchants/primary agricultural commodities: 5%.

Road Infrastructure Development and Refurbishment Investment Tax Credit Scheme

Participants in the Road Infrastructure Development and Refurbishment Investment Tax Scheme are entitled to recover the cost incurred by them in the construction or refurbishment of eligible roads as credit against CIT payable. Participants are also entitled to a single uplift, equivalent to the Central Bank of Nigeria (CBN) Monetary Policy Rate plus 2% of the project cost. This uplift will not be taxable in the hand of the participant. The tax credit can be carried forward to subsequent years until it is fully utilised. A participant may sell or transfer its tax credit to other companies, as a form of security or otherwise.

Foreign tax credit

Nigeria does not grant automatic tax credits to Nigerian companies for foreign tax on income derived from other countries. The Nigerian tax laws already provide for tax exemption for dividends, interest, and royalties.

Foreign tax credits are only granted based on the provisions of existing DTTs. In this regard, full tax credits are usually provided for in the DTTs.

Corporate - Withholding taxes

WHT is applicable on specified transactions as indicated below.

Transactions	WHT (%)			
	Corporate recipients (resident)	Corporate recipients (non-resident)	Non-corporate recipients (resident)	Non-corporate recipients (non-resident)
Dividends and interest	10	10	10	10
Royalty	10	10	5	5
Rent, hire, or lease	10	10	10	10

Transactions	WHT (%)			
	Corporate recipients (resident)	Corporate recipients (non-resident)	Non-corporate recipients (resident)	Non-corporate recipients (non-resident)
Commission, consultancy, technical, management, and professional fees	5	10	5	10
Supply of goods or materials other than by the manufacturer or producer	2	N/A	2	N/A
Co-location and telecommunication tower services	2	5	2	5
Supplying or rendering of services other than those specifically listed in this schedule	2	5	2	5
Construction (roads, bridges, building, and power plants)	2	5	2	5
Any other form of construction and related activities	5	10	5	10
Brokerage fee	5	10	5	10
Directors' fees	N/A	N/A	15	20
Compensation for loss of employment	N/A	N/A	10	10
Entertainers and sport persons	N/A	15	N/A	15
Winnings from lottery, gaming, reality shows, etc.	N/A	N/A	5	15

Compliance obligations:

- WHT must be filed by the 21st day of the month following payment.
- For related-party transactions, payment is due and deduction shall be made at the time of payment or when the liability is recognised, whichever is earlier.
- Vendors without a TIN will be charged twice the prescribed WHT rate, up to 20%.
- This does not apply to passive income (e.g. dividends).
- WHT paid by a non-resident company (NRC) that provides technical, consulting, professional or management (TPMC) services shall be the final tax to be paid by such NRC.

Penalties:

- Failure to deduct WHT: 40% of the amount not deducted.
- Failure to remit WHT: 10% of the amount not remitted plus interest at the prevailing CBN Monetary Policy Rate (MPR).

Exemption:

- Small companies are exempt from WHT deduction if the transaction value is less than NGN 2 million and the vendor has a valid TIN.

Reporting requirements:

- Submit an electronic monthly schedule of all suppliers, including: TIN, address, nature of transaction, WHT deducted, and invoice number.
- Issue tax credit certificates for WHT deducted and paid.

Double tax treaties (DTTs)

Nigeria has DTTs with the countries listed in the table below. Nigeria also has tax treaties with Kenya, Mauritius, and Poland; however, these treaties have not been ratified by the Nigerian National Assembly.

Recipient	WHT (%)			
	Dividend	Interest	Royalties	Management/Technical fees
Non-treaty	10	10	10	10
Treaty:				
Belgium	10	10	10	10
Benin**	10	10	10	10
Burkina Faso**	10	10	10	10

Recipient	WHT (%)			
	Dividend	Interest	Royalties	Management/Technical fees
Canada	10	10	10	10
Cape Verde**	10	10	10	10
China	7.5	7.5	7.5	10
Cote D' Ivoire**	10	10	10	10
Czech Republic	10	10	10	10
France	10	10	10	10
The Gambia**	10	10	10	10
Ghana**	10	10	10	10
Guinea Bissau**	10	10	10	10
Guinea Conakry**	10	10	10	10
Liberia**	10	10	10	10
Mali**	10	10	10	10
Netherlands	10	10	10	10
Niger**	10	10	10	10
Pakistan	10	10	10	10
Philippines	10	10	10	10
Romania	10	10	10	10
Senegal**	10	10	10	10
Sierra Leone**	10	10	10	10
Singapore	7.5	7.5	7.5	10
Slovakia	10	10	10	10
South Africa	7.5	7.5	7.5	10

Recipient	WHT (%)			
	Dividend	Interest	Royalties	Management/Technical fees
South Korea*	7.5	7.5	7.5	10
Spain	7.5	7.5	7.5	10
Sweden	7.5	7.5	7.5	10
Togo**	10	10	10	10
United Kingdom	10	10	10	10

* The tax treaty with South Korea is still being ratified.

** The tax treaty with the ECOWAS countries has been ratified in Nigeria but is yet to be ratified in the counter-party countries. Consequently, it is not yet in force.

Corporate - Tax administration

Taxable period

The taxable period is the fiscal year, which runs from 1 January to 31 December.

Tax returns

Companies are required to register with the Nigeria Revenue Service (NRS) and obtain a Tax ID (Taxpayer Identification Number). After registration, every company must file its annual tax returns on a self-assessment basis within six months after the end of its financial year or within 18 months after incorporation, whichever comes first. A company may apply for an extension of up to two months to file its tax returns, subject to the discretion of the NRS.

Each annual filing must include the tax computation for the relevant year of assessment, the audited financial statements prepared in accordance with International Financial Reporting Standards (IFRS), a duly completed and signed self-assessment form for CIT, and evidence of payment of the income tax liability, either in full or in part.

For companies engaged in petroleum operations, PPT and HCT are payable on an actual-year basis. Estimated tax returns must be filed within two months of the start of the fiscal year, while actual tax returns must be filed within five months after the end of the accounting period and, in any case, not later than 31 May.

Taxable persons must file VAT returns on or before the 21st day of the month following the transaction, whether or not an economic activity has taken place. Similarly, monthly returns for mineral royalties must be filed by the 21st day of the following month, while monthly returns for petroleum royalties must be filed by the 14th day of the following month. In addition, taxable persons who collect or withhold VAT (i.e. withholding VAT agents, including Federal, State, and Local Government bodies, their Ministries, Departments, or Agencies, and any other person appointed by the Service) are required to remit the VAT withheld to the Service on or before the 14th day of the month immediately following the month of the transaction.

Virtual Asset Service Providers (VASPs) are required to file monthly returns detailing virtual asset transactions. Tax incentive returns must be filed annually, and WHT returns must be filed monthly. Banks and other financial institutions are required to submit quarterly information returns, and any person entering into a disclosable tax arrangement must report it to the NRS.

Assessment

Nigerian companies are required to file tax returns using a self-assessment system. This means that the taxpayer computes its own tax liability and submits the prescribed returns to the relevant tax authority. Once filed, the tax authority may accept the return as submitted, make an additional assessment, or reject it and issue an assessment based on its best judgement. Additionally, where a taxpayer fails to file returns within the stipulated period or where the tax authority believes that the returns are incorrect or deliberately misstated, it may determine the tax payable using a best-of-judgement assessment.

Payment of tax

A company that files its self-assessment return within the statutory timeline (generally six months after the end of its accounting year) may apply in writing to the relevant tax authority for permission to pay its assessed income tax in instalments. Such application must be accompanied by a portion of the tax due and submitted on or before the filing deadline. The tax authority may approve instalment payments, provided the final instalment is paid by the due date for filing.

For companies engaged in upstream petroleum operations, CIT, HCT, and PPT for an accounting period of 12 months are payable in equal monthly instalments, together with a final instalment at the time of filing the self-assessment return to reconcile any underpayment. The first monthly instalment is due no later than the third month of the accounting period, and subsequent instalments are payable at the end of each month. The final instalment must be paid on or before the due date for filing the self-assessment return.

Penalty for non-compliance

Failure to file CIT returns attracts an administrative penalty of NGN 100,000 for the first month of default and NGN 50,000 for each subsequent month. In addition, late payment of any tax due, including CIT, incurs a penalty of 10% of the unpaid amount and interest at the prevailing monetary policy rate of the Central Bank of Nigeria plus a spread determined by the Minister.

For companies engaged in upstream petroleum operations, late submission of estimated or actual returns attracts a penalty of NGN 10 million on the first day of default and NGN 2 million for each subsequent day the failure continues. Late payment of petroleum-related taxes, including PPT and HCT, attracts a penalty of 10% of the unpaid amount and interest at the prevailing SOFR plus

10% for foreign currency transactions or 2% above the CBN Monetary Policy Rate for naira transactions.

Tax audit process

The Act allows the relevant tax authority to review a taxpayer's returns after filing through desk examinations and monitoring exercises, which can include on-site visits and interviews. It also has powers to access books, records, and premises for verification of any information provided.

Tax audits may be conducted within six years from the date of assessment. However, where deliberate misstatement, fraud, or wilful default is suspected, the authority may raise additional assessments at any time beyond the six-year limit. These audits can be random or targeted and may involve joint audits between federal and state tax authorities.

Statute of limitations

The tax authority can issue additional assessments within six years from the date of the original assessment where a taxpayer has been under-assessed or not assessed. However, this six-year limitation does not apply in cases involving deliberate misstatement, fraud, or wilful default. In such circumstances, the authority may raise additional assessments at any time and as often as necessary to recover any tax lost due to the misstatement or fraud.

Topics of focus for tax authorities

- VAT fiscalisation: VAT fiscalisation rules and mandatory e-invoicing for businesses operating in the country has now been codified under the new tax laws. Companies in Nigeria are now mandated to implement the fiscalisation system deployed by the NRS for the collection of VAT. The penalty for non-compliance is an NGN 200,000 fine plus 100% of tax due plus interest at CBN MPR.
- Disclosure of tax planning arrangements: The Nigeria Tax Administration Act (NTAA) requires companies to voluntarily and proactively notify the tax authorities of tax planning transactions or schemes that can provide a tax advantage. 'Tax advantage' refers broadly to any situation where a person or entity benefits from a favourable tax outcome and may include obtaining new or increased tax reliefs, receiving or increasing tax repayments, reducing or avoiding tax charges or assessments, deferring tax payments or accelerating tax repayments, and avoiding obligations to deduct or account for tax.
- Joint audits: As part of its efforts to promote effective tax administration and compliance, tax authorities now collaborate with each other and exchange information with each other. There is systematic exchange of relevant information to ensure compliance with applicable tax laws, as well as coordinated enforcement efforts. Where instances of non-compliance relating to taxes administered by another tax authority are identified during audits, the NRS will ensure timely referrals and, where appropriate, undertake joint audits with the relevant authority.

The OECD Multilateral Instruments

On 17 August 2017, Nigeria became a signatory to the OECD's Multilateral Convention to Implement Tax Treaty Related Measures to Prevent Base Erosion and Profit Shifting (BEPS) ('Multilateral Instrument' or 'MLI') and the Multilateral Competent Authority Agreement for the Common Reporting Standard (CRS MCAA).

The CRS MCAA

The CRS MCAA allows signatory countries to obtain financial information from financial institutions and automatically exchange the information with other jurisdictions that have signed up to the convention. Notably, the CRS MCAA will allow jurisdictions to exchange the following information:

- Name, address, and tax identification number of taxpayers.
- Taxpayer's account number.
- Name of the reporting financial institution.
- The taxpayer's account balance at the end of the reporting period.

Nigeria became the 94th jurisdiction to join the CRS MCAA. Some of the other signatories to the CRS MCAA include Bermuda, Cayman Islands, China, France, Germany, Mauritius, the Netherlands, Spain, Switzerland, and the United Kingdom.

The FIRS issued the Income Tax (Common Reporting Standard) Regulations in 2019 (CRS Regulations).

This follows Nigeria's signing of the Multilateral Convention on Mutual Administrative Assistance in Tax Matters (MAC) and the MCAA on the Automatic Exchange of Financial Account Information, signed by Nigeria on 17 August 2017.

Fundamentally, the CRS Regulations and the various agreements signed by the FIRS will allow it to receive specified information on the bank accounts held by Nigerian tax residents in up to 105 countries. In exchange, the FIRS will be obligated to provide similar information to these other countries.

The CRS Regulations have an effective date of 1 July 2019 and require qualifying Nigerian Financial Institutions to submit an electronic information return (i.e. a return that reports specified financial account information of certain persons) to the FIRS on an annual basis.

The information is to be provided in respect of 'reportable accounts', which, subject to certain exemptions, are the Nigerian accounts of persons who are resident for tax purposes in a foreign country with which Nigeria has signed the relevant exchange of information agreement.

Other relevant provisions include:

- First reporting year: Starting from the 2019 calendar year.
- Filing deadline for information return: 31 May of the year following the calendar year to which the returns relate.
- Penalties for non-compliance:
    - Failure to comply with duty or obligation imposed by the CRS Regulations: NGN 10 million in the first instance, in addition to NGN 1 million/month.
    - Failure by a financial institution to file information return: NGN 10 million in the first instance, in addition to NGN 1 million/month.
    - Furnishing false or incorrect information: NGN 5 million.
    - Failure by a financial Institution or any person to comply with the NRS requirement in the exercise of its powers: NGN 1 million in the first instance, in addition to NGN 100,000/month.
    - Failure by a financial institution to keep records in accordance with the Regulations: NGN 1 million in the first instance, in addition to NGN 100,000/month.

Mutual Agreement Procedure (MAP)

The FIRS has issued guidelines on accessing the MAP in Nigeria. The guidelines provide guidance to taxpayers on the process for accessing the MAP as a means of dispute resolutions as contained in the various avoidance of DTTs between Nigeria and other countries.

Treatment of business restructuring

In a merger, for the purpose of taxation, the cessation rules relating to income and capital gains do not apply to the merging trades. Assets are transferred at their tax residue, and unabsorbed losses, unutilised WHT credit notes, and unutilised capital allowances can be carried forward to the new or surviving entity.

In an outright sale or transfer leading to cessation, tax shall apply to the chargeable asset sold, and unutilised capital allowances and losses of the old business will not be available for use by the new business.

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